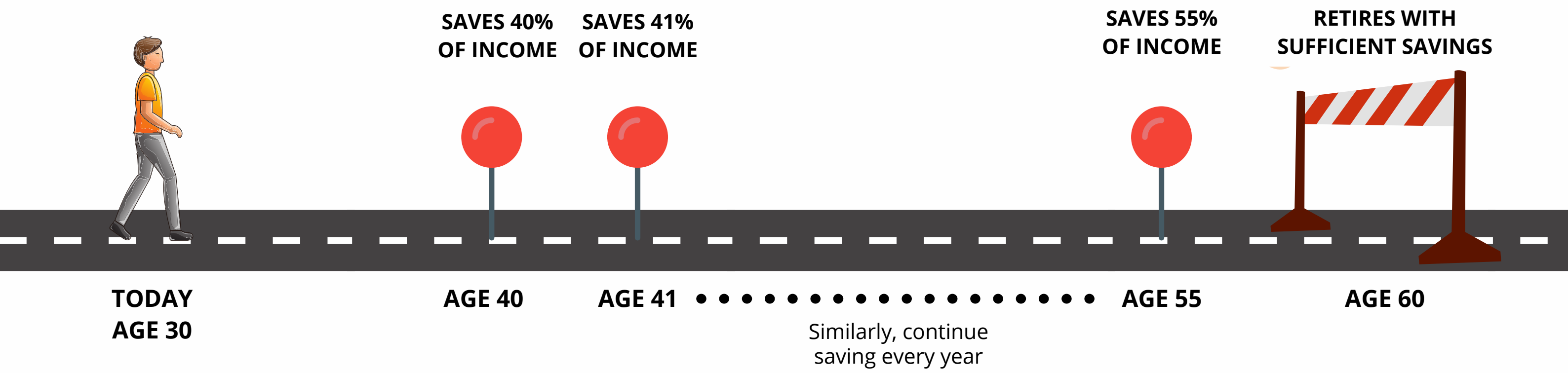
It is time we ask ourselves, “How much do we need?” To calculate this, we use either of the three methods, instead of getting caught up in complicated models.

PERCENTAGE SAVINGS METHOD | **RULE OF THUMB METHOD** | **SAVING SUFFICIENCY METHOD**

PERCENTAGE SAVINGS METHOD

This is suitable for people around the age of 40 who have just started saving for retirement. We save the age % of our salary till the time we are 60. This means when we are 40, we save 40% of post-tax income towards retirement. Similarly, at 41, save 41% of income, at 42, save 42% of income and so on. We need to keep doing this till we are 60 and we will have a corpus big enough to sustain our lifestyle post-retirement. The math behind this is not within the scope of our discussion, but it works fine to meet our retirement needs.



RULE OF THUMB METHOD

Rule of thumb helps us calculate the sum of money we need at retirement. It comprises of two methods: income multiplier and expense multiplier. According to the income multiplier rule, 10 times of our final year post-tax salary shall be the amount needed. The expense multiplier rule states that 24-30 times of our final year expense shall be the required amount. These are extremely conservative numbers which will assure us that our retirement needs are met on time.